Harcourt Lyle Valuers Pty Ltd
Property valuation and advisory

Independent Valuation
Morayfield Land Subdivision

Lot 41 Rowley Road, Morayfield QLD 4506: mortgage security valuation for stages 1 and 2

Prepared for Quillwood Credit Partners
Valuation date: 13 March 2026
Version: Final for credit use
Reference: HLV/VAL/2026/0313-PLC
Date: 13 March 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower and owner	Precinct Land Co Pty Ltd
ABN	34 822 626 657
Sponsor	Precinct Communities Group Pty Ltd (trading as Precinct Communities)
Registered address	Level 6, 40 Creek Street, Brisbane QLD 4000
Property	Lot 41 Rowley Road, Morayfield QLD 4506 (Moreton Bay local government area)
Site area	38.5 hectares
Valuation date	13 March 2026 (inspected 9 March 2026)
Basis of value	Market Value, as is (site) and Gross Realisation Value (stages 1 and 2)
Purpose	Mortgage security for a proposed senior secured land and civils development facility of A$52.0M
Prepared for	Quillwood Credit Partners
Prepared by	Harcourt Lyle Valuers Pty Ltd
Reference and version	HLV/VAL/2026/0313-PLC, Final

Valuation particulars

1. Executive summary

Quillwood Credit Partners has instructed Harcourt Lyle Valuers Pty Ltd to value the 38.5 hectare site at Lot 41 Rowley Road, Morayfield, held by Precinct Land Co Pty Ltd, a special purpose development vehicle wholly owned by Precinct Communities Group Pty Ltd. The valuation is to support a first registered mortgage over the whole site securing a proposed A$52.0M facility that funds stages 1 and 2 only (148 of the 286 approved lots).

We have formed our own view of the gross realisation, the sales rate and the as is land value. Where our figures differ from those in the sponsor's information memorandum dated 2 February 2026, we have adopted and reported our independent figures. Our conclusions are summarised below.

Market Value of the site, as is	A$28.4M
Gross Realisation Value, stages 1 and 2	A$77.6M (148 lots, average about A$524,000)
Sustainable absorption rate	5.5 lots per month
Sell-out period, stages 1 and 2	About 27 months from campaign launch
Total development cost relied on	A$69.8M (QS adjusted)
Margin on cost, independent basis	About 11%
Facility limit as a proportion of GRV	67.0%

Valuation conclusions as at 13 March 2026

The information memorandum assumes an average lot price of A$545,000 and a gross realisation of A$80.7M. Our assessment is A$77.6M, which is A$3.1M or 3.8% lower. We also adopt a slower sales rate of 5.5 lots per month against 8.0 in the information memorandum, which extends the sell-out from about 18.5 months to about 27 months. The quantity surveyor, Brannock & Dyer Quantity Surveyors Pty Ltd, has estimated civil and infrastructure cost at A$32.4M against A$29.6M, lifting total development cost from A$67.0M to A$69.8M.

On these figures the project remains viable but with materially thinner cover than the sponsor presents. Margin on cost falls from 20.4% to about 11%, and the facility represents 67.0% of GRV rather than 64.4%. The site itself is worth A$28.4M as is, which is 5.2% above the A$27.0M purchase price of June 2024. That value is the principal source of security if the project stalls before lot sales generate proceeds.

Item	Information memorandum	Independent figure
GRV, stages 1 and 2	A$80.7M	A$77.6M
Average lot price	A$545,000	About A$524,000
Civils cost	A$29.6M	A$32.4M
Total development cost	A$67.0M	A$69.8M
Margin on cost	20.4%	About 11%
Facility to GRV	64.4%	67.0%
Absorption rate	8.0 lots per month	5.5 lots per month
Sell-out period	About 18.5 months	About 27 months

Sponsor assumptions compared with independent figures

2. Instructions and scope

We were instructed by Quillwood Credit Partners to provide an independent valuation for first mortgage security purposes. The scope covers the Market Value of the site as is, the Gross Realisation Value of the 148 lots in stages 1 and 2, a view on market absorption, and a review of the project feasibility using the quantity surveyor's cost advice.

Stages 3 to 6 (138 lots) are outside the facility and are expected to be funded separately after stage 2 is substantially complete. They nevertheless sit within the security, because the mortgage is over the whole site. We have valued the site as a single holding and have not separately assessed realisation of stages 3 to 6.

We inspected the site on 9 March 2026. We relied on the development approval, the stage 1 and 2 operational works approval, the masterplan, the sponsor's information memorandum, the sales agent's contract schedule, the financial statements dated 6 March 2026 and the quantity surveyor's cost advice. The quantity surveyor's formal report is dated 20 March 2026. The cost figures used here are those advised to us by Brannock & Dyer Quantity Surveyors Pty Ltd, and we will confirm them against the issued report. If the issued report differs, we will advise Quillwood Credit Partners promptly.

3. The property

3.1 Location and description

The site is at Lot 41 Rowley Road, Morayfield, within the Moreton Bay local government area, in the northern growth corridor of south-east Queensland. It has an area of 38.5 hectares. Precinct Land Co Pty Ltd acquired it on 28 June 2024 for A$27.0M, or about A$701,000 per hectare, after Precinct Communities signed a conditional contract on 15 November 2023. The purchase was funded by sponsor equity and a short-term acquisition loan, which this facility is intended to refinance.

At inspection, early bulk earthworks for stages 1 and 2 were under way following receipt of operational works approval on 10 November 2025. The balance of the site was largely undisturbed. Title particulars, registered interests and easements should be confirmed by the legal advisers, Calloway Finch Lawyers. We have assumed title is good and marketable and free of encumbrances that would affect value, other than the mortgage.

3.2 Planning and approvals

Moreton Bay Regional Council granted development approval for reconfiguring a lot on 21 March 2025, permitting 286 residential lots in six stages. Operational works approval for stages 1 and 2 followed on 10 November 2025. The approved masterplan is the basis for our valuation, and we have assumed the approvals remain current and that their conditions can be satisfied within the programme and budget advised.

Parts of the site sit within a flood and overland flow overlay. We have assumed that all 148 lots in stages 1 and 2 will achieve the flood immunity required by the approval conditions, and that any filling, drainage or detention works needed are included in the quantity surveyor's civils estimate. We have not sighted a flood study and make no

finding on flood risk. Revised infrastructure charges or additional conditions could increase cost or delay lot title registration, and we have not allowed for either.

3.3 Environmental

No contamination or ecological assessment was provided. We have assumed the site is free of contamination and of constraints that would affect the approved yield. This is a standard assumption, and a lender relying on it should consider whether independent environmental advice is warranted for a site of this size.

4. Market commentary

Morayfield and the surrounding Moreton Bay suburbs have been among the more active residential land markets in south-east Queensland, supported by relative affordability against Brisbane and by continued population inflow. Lot demand in this corridor is driven largely by first home buyers and owner occupiers building under fixed price contracts. Buyers are therefore sensitive to borrowing capacity, interest rates and government support measures.

The sponsor supports the A$545,000 average with reference to recent Moreton Bay lot medians. Median figures blend all lot sizes across a wide area, and in our view they overstate what a product mix weighted to 300 to 449 square metre lots can achieve at Morayfield. Our enquiries with selling agents on competing estates indicate that lots of 350 to 450 square metres are trading in a range of about A$490,000 to A$520,000, and that sustained absorption is typically between 4 and 7 lots per month once initial launch demand is exhausted.

5. Valuation methodology

We have used three approaches, each applied to a different question.

- Direct comparison, applied to individual lots to assess the Gross Realisation Value of stages 1 and 2 at current prices. No allowance is made for price growth, and the GRV is not discounted. It is exclusive of GST.
- Capitalisation of the sales evidence in an absorption analysis, to assess a sustainable rate of sale and the resulting sell-out period.
- Hypothetical development (residual) analysis, cross-checked against englobo sales per hectare, to assess the Market Value of the site as is.

6. Gross realisation value

6.1 Lot mix and adopted values

We have assessed each lot type against the sales evidence below, adjusting for size, frontage, aspect, proximity to parkland and the stage in which the lot is delivered. The adopted values aggregate to A$77.6M across 148 lots, an average of about A$524,000.

Lot type	Lots	Adopted price (A$)	Total (A$M)
Compact, 300 to 349 sqm	38	455,000	17.3
Standard, 350 to 449 sqm	62	505,000	31.3
Large, 450 to 599 sqm	36	570,000	20.5
Premium and parkland, 600 sqm and above	12	706,000	8.5
Total	**148**	**About 524,000**	**77.6**

Adopted lot values, stages 1 and 2 (exclusive of GST)

6.2 Sales evidence

Estate and suburb	Lot size (sqm)	Price (A$)	Sale date
Parkside, Morayfield	312	449,000	Feb 2026
The Lakelands, Caboolture	400	489,000	Oct 2025
Wattlebird Rise, Burpengary East	375	498,000	Nov 2025
Corymbia Park, Narangba	420	512,000	Dec 2025
Ridgeview, Morayfield	450	521,000	Jan 2026
Kestrel Green, Burpengary	600	689,000	Nov 2025

Comparable lot sales relied on

The evidence supports the adopted values. The standard lots, which are the largest group, are valued at A$505,000, within the range of the 375 to 450 square metre sales. The premium lots at A$706,000 are a modest premium to the Kestrel Green sale at 600 square metres because they have parkland frontage, and they are a small share of the total.

6.3 Reconciliation to the information memorandum

The information memorandum applies A$545,000 to all 148 lots, giving A$80.7M. Our adopted average is about A$524,000, which is 3.8% lower. The difference arises because a flat average does not reflect that 38 lots are compact product selling below A$460,000, and because the median evidence the sponsor cites includes larger lots than most of this release.

The 49 contracts executed by the date of the information memorandum total A$26.4M, an average of about A$538,800, which is above our overall average. We read this as early demand skewed to larger and better located lots, and possibly to launch incentives. If the 49 contracts settle at their contract prices, the remaining 99 lots must average about A$517,200 to reach our GRV. We consider that achievable, but it leaves little room for discounting.

7. Sales rate and sell-out

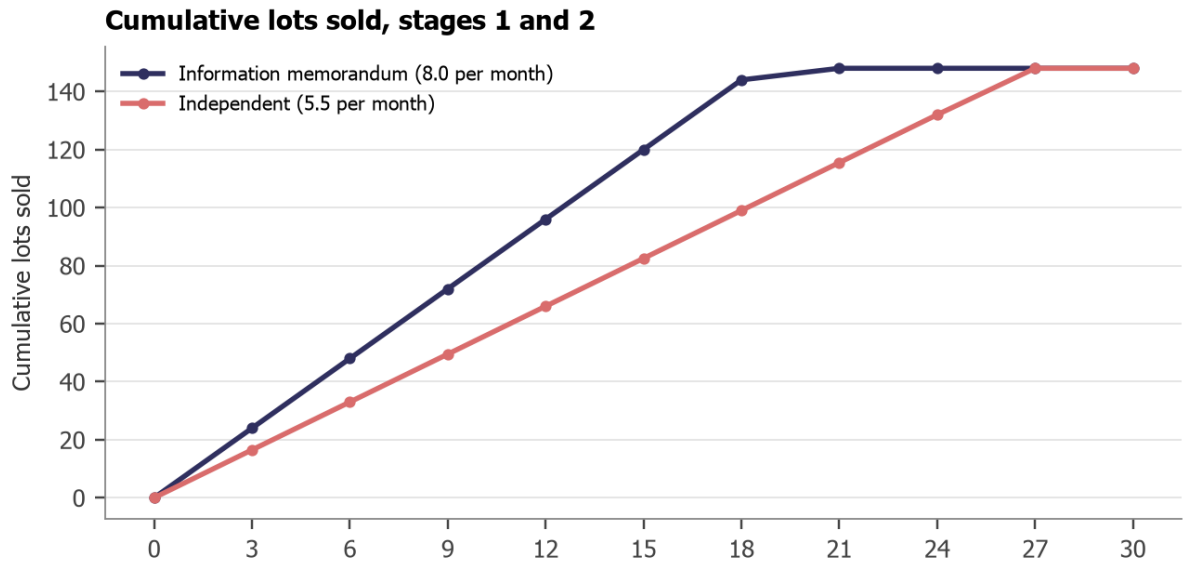
7.1 Presales

The public sales campaign for stages 1 and 2 launched on 19 January 2026, run by the sales agent, Bayline Projects Marketing Pty Ltd. By 2 February 2026, 49 of the 148 lots (33% by lot count, A$26.4M) were under contract, with 10% deposits held in the agent's trust account. Those deposits total about A$2.64M. The A$26.4M of contracts equals about 51% of the proposed A$52.0M facility limit.

Presales of this level are useful but not conclusive. Contracts remain exposed to buyer finance approval and to valuation shortfalls at settlement, which tends to be the weak point where contract prices are above the prevailing market. Two-thirds of the lots are unsold.

7.2 Absorption

The information memorandum assumes 8.0 lots per month, implying sell-out in about 18.5 months. We consider the initial burst of 49 contracts to reflect launch demand and not a rate that can be sustained over two years. Our enquiries on competing estates and the depth of buyer demand at A$500,000 and above lead us to adopt 5.5 lots per month. At that rate, 148 lots sell out in about 27 months from the campaign launch.



Months from campaign launch on the horizontal axis. Both lines are capped at 148 lots.

A sell-out of about 27 months from launch is close to the proposed 30 month facility tenor, once the time between contract and settlement is considered. Lot settlements depend on civil completion and title registration, so the last settlements could fall after the point at which we assume the final contracts are signed. The margin for delay is therefore small, and the lender should consider this when setting the tenor and any extension terms.

8. Cost and feasibility

8.1 Development cost

We are not quantity surveyors and rely on Brannock & Dyer for cost. Their advice lifts the civil and infrastructure cost for stages 1 and 2 to A$32.4M from the sponsor's A$29.6M, an increase of A$2.8M or 9.5%. We have held the other cost components at the sponsor's levels.

Cost item	IM (A$M)	Adjusted (A$M)
Civil and infrastructure construction	29.6	32.4
Land allocation, infrastructure charges, fees and finance	37.4	37.4
Total development cost	**67.0**	**69.8**

Total development cost, stages 1 and 2

The other costs of A$37.4M include land allocated to stages 1 and 2, infrastructure charges, professional fees and capitalised interest and fees. We have not re-cut the finance cost. A 27 month sell-out, against 18.5 months, will increase capitalised interest and holding costs if the facility remains drawn for longer. The adjusted total development cost of A$69.8M may therefore be understated, and we recommend the lender's model test this.

8.2 Feasibility

On the sponsor's figures, GRV of A$80.7M and total development cost of A$67.0M produce a profit of A$13.7M, a margin on cost of 20.4%. On our figures, GRV of A$77.6M and adjusted cost of A$69.8M produce a profit of A$7.8M, or about 11% on cost and 10.1% on GRV. Lenders to residential land projects commonly look for a margin on cost materially above this, so the project has limited buffer against further adverse movement.

The A$52.0M facility is 77.6% of the sponsor's A$67.0M cost, with sponsor equity of A$15.0M funding the balance. Against the adjusted cost of A$69.8M, the facility is 74.5% of cost, but only if the sponsor funds the additional A$2.8M, which takes its equity to A$17.8M. The facility documents should require this commitment, because the

information memorandum contains no cost overrun funding beyond the sponsor completion guarantee.

8.3 Sensitivity

Scenario	GRV (A$M)	TDC (A$M)	Margin on cost	Facility to GRV
Base case	77.6	69.8	11.2%	67.0%
GRV down 5%	73.7	69.8	5.6%	70.5%
GRV down 10%	69.8	69.8	0.1%	74.5%
Civils up 10%	77.6	73.0	6.2%	67.0%
GRV down 5%, civils up 10%	73.7	73.0	0.9%	70.5%

Sensitivity of margin and gearing to GRV and civils cost

A 10% fall in GRV removes the entire margin. A 5% fall in GRV combined with a 10% civils overrun leaves less than 1% on cost. Either outcome would be possible in an adverse sequence of wet weather, ground conditions, rate rises and softer buyer demand.

9. Market value of the site as is

We assess the Market Value of the 38.5 hectare site, as is, at A$28.4M. This reflects the development approval for 286 lots, operational works approval for stages 1 and 2, and the early earthworks completed. It equates to about A$738,000 per hectare. It is A$1.4M or 5.2% above the June 2024 purchase price of A$27.0M.

The increase is modest. It reflects the approvals obtained since acquisition, offset by higher construction costs and a more cautious view of lot pricing than the sponsor takes. Our residual analysis, using the adopted GRV, a sell-out of 27 months and the quantity surveyor's costs, produces a value consistent with this figure. Englobo sales of approved sites in the northern corridor support the per hectare rate, though such sales are infrequent and we have placed weight on the residual analysis.

The as is value applies to the site as a whole. It is not a value of the stage 1 and 2 land alone, and it should not be taken as the amount recoverable if the lender were to sell under duress. A forced sale of a part-developed site with flood overlay constraints and uncompleted civils would, in our experience, realise less than Market Value, and the discount would be larger if the sale followed a construction default.

10. Security considerations

- Value cover at drawdown: the facility limit of A$52.0M is 183% of the as is Market Value of A$28.4M, so the site alone does not cover the debt. Cover depends on the value created by civils and on lot settlements.
- Value cover on completion: at A$77.6M GRV, the limit is 67.0% of GRV. An average debt of about A$351,000 per lot compares with an average lot value of about A$524,000.
- Presale quality: 49 contracts totalling A$26.4M support about 51% of the limit, subject to settlement risk. Contract prices average above our adopted lot values, which increases exposure to valuation shortfalls at settlement.
- Whole-site mortgage: the security includes stages 3 to 6, which we have valued only as part of the site as is. Their value will only be realised if the later stages are funded and developed, or the land is sold in englobo.
- Single-asset borrower: Precinct Land Co Pty Ltd is a single-project vehicle. The lender relies on Precinct Communities for equity, the completion guarantee and funding of stages 3 to 6.
- Release prices: the indicative release mechanism returns 100% of net sale proceeds until the balance is reduced to 60% of the outstanding amount, then 110% of allocated debt. With thinner margins than presented, this mechanism should be tested against the lower GRV and slower sales rate.

11. Key risks to value

- Sales velocity and conversion: only 33% of lots are contracted, and our absorption of 5.5 lots per month is well below the sponsor's 8.0. Settlements depend on buyer finance and on bank valuations supporting contract prices.
- Construction cost and programme: the quantity surveyor estimates civils at A$32.4M against A$29.6M. Earthworks are exposed to wet-weather delay and unforeseen ground conditions.
- Thin cover: on our GRV and the adjusted cost, margin on cost is about 11% and the facility is 67.0% of GRV.
- Market and affordability: pricing near A$545,000 depends on buyer borrowing capacity. Further rate rises or a weaker first home buyer market would pressure both pricing and absorption.
- Approvals and charges: the flood and overland flow overlay and possible changes to infrastructure charges or conditions could add cost or delay title registration.
- Sponsor and concentration: the borrower has no other business, and stages 3 to 6 depend on later funding.

12. Assumptions, qualifications and reliance

- This valuation is current as at 13 March 2026. Land values in this market can move quickly, and we recommend the valuation not be relied on after three months, or earlier if there is a material change in interest rates, approvals or costs.
- Cost figures are those advised by Brannock & Dyer Quantity Surveyors Pty Ltd, whose formal report is dated 20 March 2026. We have not independently verified them and will review the issued report on receipt.
- Financial information, including the statements dated 6 March 2026, was provided by the borrower and sponsor and has not been audited by us. We have not tested the sponsor's equity position or the creditworthiness of any party.
- Values are exclusive of GST. We have assumed no price growth in the GRV and have not discounted it.
- We have not sighted a flood study, geotechnical report, contamination assessment or the full sale contracts, other than the sales agent's schedule.
- Legal matters, including title, easements and the enforceability of contracts and security, are outside our expertise. We have assumed advice from Calloway Finch Lawyers will confirm that there are no adverse matters.
- This report is prepared for Quillwood Credit Partners for mortgage security purposes only. No responsibility is accepted to any other party, and no part of it may be published or relied on elsewhere without our written consent.

13. Valuer's certification

We certify that we have no present or prospective interest in the property or in the borrower, the sponsor or the facility. Our fee is not contingent on the value reported or on the facility proceeding. The inspection and valuation were carried out in accordance with the Australian Property Institute Valuation Standards and the lender's instructions.

Valuer	Rhys Anstey, Certified Practising Valuer, Registered Valuer (Queensland), Director
Reviewed by	Helen Elphick, Certified Practising Valuer, Director
Firm	Harcourt Lyle Valuers Pty Ltd
Date of valuation	13 March 2026
Date of issue	13 March 2026

Sign-off